

**Response of Athena Economics
to the OECD Public consultation on the Revisions to
Chapter VII of the OECD Transfer Pricing Guidelines**

Special Considerations for Intra-Group Services (1 June – 22 July 2026)

Athena Economics (www.athena-economics.com) is an independent economic consulting firm, based in Paris, dedicated to applying economic analysis to complex business, legal and tax issues. With a particular expertise in transfer pricing and valuation, the firm advises multinational groups throughout the entire transfer pricing lifecycle—from policy design and documentation to operational transfer pricing and controversy support. Active across all industries, Athena Economics combines innovative analytical approaches, leveraging the best of Artificial Intelligence capabilities, with practical experience to deliver value-adding and economically sound solutions to a wide range of transfer pricing challenges.

Dear Working Party 6 Delegates,

We thank you for the preparation of the discussion draft “Revisions to Chapter VII of the OECD Transfer Pricing Guidelines” released on 1 June 2026 (the “Draft”) and for the opportunity to comment on it. We are pleased to submit the following comments on the Draft. We remain at the disposal of the OECD Secretariat and of Working Party No. 6, should any clarification or further discussion of the points raised below be found useful.

The key themes developed in our response include in particular:

- Treatment of ESG / CSR initiatives (Section 1.1.2)
- The allocation step as a foundation (Section 1.2.1)
- Stock-Based Compensation: Framework and application to PSM (Section 1.3)
- Value-Adding Services (Section 2.1)
- Individual Employees (Section 2.2)

We first discuss the points raised by Working Party No. 6 (Section 1) and then discuss a selection of additional points (Section 2).

1. POINTS RAISED BY WORKING PARTY 6

1.1. Shareholder services

1.1.1. Existing guidance in paragraph 7.10

We believe Guidance in Paragraph 7.10 to be appropriate, as it provides a foundational ground and practical framework to characterize shareholding activities.

Nevertheless, we raise your attention upon the following facts which could benefit from additional guidance from the OECD:

- Activities relating to debt funding:

The Draft articulates that Shareholder Activities ought to relate only to the management of equity interest, to the exclusion of activities relating to debt funding (7.26.c). We recommend that, as a matter of principle, a clearer link would be articulated between equity interest management and Shareholder Activities.

- Start-Up Costs:

It is common for multinational enterprises (“MNEs”) to incur costs with a view to assessing the appropriateness to open operations in a new country and - as applicable - to proceed with the implementation. Those costs, incurred prior to any incorporation of an entity, may include operational costs (strategic, marketing costs), and legal costs.

Additional guidance as regards the transfer pricing treatment of the costs would be welcomed, in both cases of non-execution or execution of the entry of the market and to which party these costs should be allocated (ultimate parent, direct parent, decision-making entity, newly created entity).

1.1.2. Other shareholder activities: ESG / CSR

We believe that the list of activities in 7.10 does omit an important and rapidly growing category: ESG / CSR costs¹. ESG/CSR expenditure can no longer be regarded as a marginal issue. It has become a significant component of many multinational groups' operating costs and gives rise to increasing uncertainty regarding its transfer pricing treatment.

We consider that ESG / CSR policies can usefully be decomposed into four distinct components, each calling for a different transfer pricing treatment:

- **«Compliance - Driven »:** Share of the activities carried out to comply with a regulatory requirement. The arm's length treatment would generally be to leave the corresponding costs with the entity directly subject to them.

¹ Please refer to our article, « Prix de Transfert : RSE / ESG : Qui va payer ? », Forvis Mazars, November 2024 for further details.

- **«Investor - Driven »:** Share of the activities carried out in view of the extra-financial rating that will be made by equity investors. This component falls squarely within the notion of shareholder activities as defined in Chapter VII and should accordingly be allocated to the ultimate parent entity.
- **«Business - Driven »:** Share of the activities that would have been carried out in any event, even absent any ESG/CSR rationale, because they serve the ordinary economic interest of the group (e.g. operational, commercial or marketing benefits). We believe that such activities should follow the ordinary transfer pricing treatment applicable to the function concerned – typically an allocation to the beneficiary (central or local) in proportion to the benefit received.
- **«Philanthropic - Driven »:** Share of activities undertaken to pursue broader societal or environmental objectives without any identifiable commercial benefit for the Group. It is the residual, « purest », component of ESG/CSR activities, which does not generate any expected return and is undertaken purely “out of altruism”.

For this component, as it goes by definition beyond the economic interest of the entities, should it be considered as relating to a Shareholder Activity and allocated, in whole or in part, to the ultimate parent?

We would therefore encourage Working Party No. 6 to recognize explicitly that ESG/CSR expenditure should not be analyzed as a homogeneous category. Rather, its transfer pricing treatment should follow how a particular initiative “scores” along each one of the above described axis. We believe that such a framework would provide greater consistency with the arm's length principle while offering practical guidance in an area that is rapidly increasing in importance.

1.1.3. Ancillary activities to the corporate governance of the MNE as a whole

See Previous answers.

1.2. Allocation keys

1.2.1. Additional guidance on the application of allocation keys

We believe that, while the benefit test remains conceptually indispensable, its practical importance is often overstated for routine intra-group services. On the other hand, the determination of appropriate allocation keys is one of the most critical—and perhaps the most underestimated— aspects of the transfer pricing analysis of intra-group services.

Based on our experience, MNE groups generally incur genuine costs in providing - at a group wide level – and in an undisputed manner, genuine intra-group services.

Where a dispute arises regarding the local application of the benefit test, we believe the true source of disagreement will, in practice, almost always be one of the following two issues², rather than the reality of the service itself:

- The nature of the service is difficult to concretely grasp and / or the tax administration has too high requirements
- The allocation methodology does not accurately reflect how the various operating entities benefit from the service.

Therefore, in our view, it would be far more appropriate to ground – in practice – the analysis on the recognition that, the total of the charges incurred by the service provider will, in most cases, correspond to the appropriate base to determine the total service charge.

We would accordingly suggest that the OECD adopt, for simple and straightforward services³, a rebuttable presumption that the total service charge of the service provider, at a group level, is arm's length – shifting the practical focus of the analysis, and of any dispute, towards the robustness of the allocation key rather than towards the existence of the service itself.

We believe that in case of a simple fact pattern, this could help reduce the volume of disputes between taxpayers and tax administrations.

1.2.2. Appropriate allocation keys

We believe that OECD guidance should avoid prescribing either an exhaustive or a hierarchical list of acceptable allocation keys as their appropriateness depends on the economic characteristics of the service concerned rather than on any predetermined ranking.

Yet, we believe that in practice, the functional analysis should not be limited to identifying the services rendered. It should also consider the capabilities and resources already available within each recipient entity. The existence of significant local resources performing similar functions may, depending on the facts and circumstances, indicate either duplication of activities or that the selected allocation key no longer appropriately reflects the economic reality of the services received.

In practice, we would advocate that the functional analysis – in connection with the duplication concept – systematically includes the analysis of the local resources and test, at least qualitatively, whether, over the course of the several years, the allocation is aligned with economic reality.

1.3. Stock-Based Compensation

We believe that guidance on SBC from the OECD would be highly helpful, as tensions on this subject are increasing as a result of Pillar Two in particular. From a transfer pricing perspective, the difficulty stems from the fact that SBC arrangements sit at the intersection of operating transactions and equity dealings — the latter falling outside the scope of transfer pricing and, often, corporate income tax

² A third issue (less common): the service provider is not operating efficiently such that a portion of its costs should not be attributable to the local recipient entity

³ Typical assumptions would include the fact there would be no reason to doubt that:

- The total charge at the service provider level is genuine (fair accounting)
- The service provider is efficient by market standards
- A one-sided cost plus / Transactional Net Margin Method ("TNMM") is appropriate in the case at hand

altogether. This overlap is what makes the analysis inherently more complex than for ordinary cost-based service transactions.

From a transfer pricing standpoint, we believe that the reference point for the solution should be situations involving independent comparable companies that themselves grant SBC to their employees under comparable circumstances. It is only where it can reasonably be concluded that no such comparables exist — which is likely to often be the case — that a comparability deviation should be established, triggering a more complex line of reasoning.

In that case, we recommend that the OECD design a methodology commensurate with the arm's length principle, on the following grounds:

- SBC is a genuine cost, reflecting value creation. It should therefore unarguably be factored in under cost-based approaches such as the TNMM.
- Yet, we call your attention to the fact that the Net Present Value of an SBC award may differ from an equal nominal amount of operating charges, on account of:
 - The different tax treatment for both the issuer and the recipient of equity;
 - The intrinsic level of risk borne by the employee, to the extent this risk is properly reflected in the determination of the NPV;
 - Other facts and circumstances specific to the award and the issuer.

A substantial body of corporate finance literature supports this divergence. Hall and Murphy (Journal of Accounting and Economics, 2002) demonstrate, using a certainty-equivalence framework, that undiversified employees who cannot hedge or trade their equity awards value them systematically below their cost to the company. Meulbroek (Financial Management, 2001) independently quantifies this "deadweight cost": because employees are exposed to firm-specific (idiosyncratic) risk without being compensated for it through expected market returns — unlike a diversified investor, who is only compensated for systematic risk — the value an employee attributes to an equity award is inherently lower than the amount the company records as an expense.

This literature establishes that the accounting cost of SBC is not, in principle, fungible on a one-for-one basis with an equivalent nominal amount of cash operating cost. These differences may also affect the relative bargaining power of the parties to the arrangement, and consequently the extent to which nominal SBC amounts can properly be treated as equivalent to ordinary operating costs. This may, in principle, call for the consideration of adjustments.

As a guiding principle, we believe that the ultimate allocation of profit amongst entities should be largely indifferent — once the above adjustments have been performed — between an SBC and a non-SBC setup. Accordingly:

- The profit derived from the actual business activity associated with the SBC (e.g. the mark-up) should be allocated to the local entity employing the relevant employees.
- The profit of the parent company in respect of the SBC component of the arrangement should be commensurate with its role in the arrangement (i.e. potentially close to zero).
- The entity receiving the service should bear the full price of the service — i.e. the SBC cost plus the associated mark-up — and not merely the mark-up component in isolation.

Finally, we also draw your attention to the role of SBC in contexts other than one-sided methods, such as the Transactional Profit Split. In such contexts — for example, start-ups with active founders — SBC, together with related metrics such as excess Total Shareholder Return, can be used as an allocation key within a static or dynamic profit split model.

2. PART 2 - ADDITIONAL ITEMS

We discuss here additional items not specifically raised in the questions in the Draft.

2.1. Value-adding service & Profit Split

We welcome the OECD's efforts to restore methodological flexibility in the transfer pricing analysis of intra-group services. We particularly welcome the draft's move away from a potential practical bias, amongst practitioners in favor of one-sided methods for intra-group services. In practice, many taxpayers have felt compelled to rely on the TNMM even where centrally performed services involve significant value creation and integrated contributions. By re-emphasizing that the choice of method must follow the economically relevant characteristics of the transaction, the draft restores the flexibility embedded in the OECD Transfer Pricing Guidelines and should encourage the use of more appropriate methods, including the transactional profit split where warranted.

2.2. Individual Employees and the Use of the CUP

We believe that, in light of evolving business models and new ways of working, additional OECD guidance would be particularly valuable on the transfer pricing of entities employing only one or a very limited number of individuals, especially where those individuals perform significant value-creating activities. Such structures are becoming increasingly common but remain insufficiently addressed in the current guidance.

In particular, further clarification would be welcome on the extent to which the remuneration paid to such employees may constitute a relevant reference point (under the CUP method) when pricing intra-group services. Similarly, additional views on the impact that the very limited scale of an entity may have on the comparability analysis would help taxpayers and tax administrations assess when comparisons with larger, independent, service providers remain reliable.

We would also welcome the OECD's views on the circumstances in which market rates charged by independent consultants or interim managers may provide useful CUP evidence, or otherwise inform, the arm's length analysis. Clearer guidance on the strengths and limitations of such market references would contribute to greater consistency and certainty in practice.

2.3. Transaction Delineation

We welcome the Draft's emphasis, in line with Chapter I-III on the accurate delineation of controlled transactions, in particular in the types of situations below:

- At the level of the provider: Combination of several recharge mechanism for several distinct transaction types (e.g. services, royalties, financing arrangements), each reflecting different economically relevant contributions.
- At the level of the recipient: articulation of services with the main (e.g. product) transaction. For example, where a distributor is remunerated through an arm's length operating margin, central support services may already be reflected in that remuneration and need not necessarily give rise to a separate service charge.

Finally, it would be particularly helpful that the Draft recognizes the implications of this approach in the context of tax audits. Where services are economically embedded within the pricing of another controlled transaction, any adjustment based solely on the benefit test or the absence of a separate service charge should be considered in the context of the overall transfer pricing outcome. Explicit recognition that such adjustments should be balanced against the remuneration already received

would reduce the risk of double taxation and provide greater certainty to both taxpayers and tax administrations.

2.4. Articulation with Chap. I Framework on Risk

We believe the draft could make more explicit reference to the risk analysis framework set out in Chapter I of the OECD Transfer Pricing Guidelines. In particular, it would be helpful to emphasize that the characterization of an entity as a "low-risk" service provider should not be interpreted as implying the absence of economically significant risks.

Even where a service provider performs routine support functions and is remunerated under a cost-based methodology, it may nevertheless assume and control certain operational risks. These may include, for example, budget-to-actual cost variances, capacity utilization risk, project execution risk, service quality risk, or other operational risks arising in the ordinary course of providing the services.

Consistent with the OECD risk framework, the assumption of such risks implies that the service provider may, under arm's length conditions, occasionally realize returns above or below its target remuneration, including limited losses where those risks materialize. The mere fact that an entity is characterized as "low-risk" should therefore not create an expectation that it will necessarily achieve a positive return in every taxable year.

Clarifying this point would, in our view, improve consistency between the draft guidance and Chapter I of the OECD Transfer Pricing Guidelines, while reducing the risk that the notion of a "low-risk service provider" is interpreted as requiring a de facto guaranteed profit.

2.5. Side Note: Refinement of the drafting of Section 7.15

Section 7.15 of the Draft states that "a benefit can include, for example, an expected increase in the recipient's profitability". While we agree with this statement in principle, we believe that additional clarification would be helpful in order to avoid unintended circular reasoning, as the profitability ultimately reported by the recipient may itself be a consequence of the transfer pricing method applied.

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